

GENERAL TERMS AND CONDITIONS OF PURCHASE ORDER/ENQUIRY

Part "A" General

1.0 DEFINITION

Unless inconsistent with or otherwise indicated by the owner the following word shall have the meaning as assigned to them here under:

- a) "Owner/Purchaser" means KRISHAK BHARATI CO-OPERATIVE LIMITED (KRIBHCO), or "HAZIRA AMMONIA EXTENSION PLANT" (HAEP) owned by Heavy Water Board, Department of Atomic Energy, Government of India and operated and maintained by KRIBHCO, a multiunit Co-operative society registered under the Multi State Co-operative Societies Act 2002, having its registered Office at A-60, Kailash Colony, NEW DELHI and Head Office at A-8-10, Sector-1, Noida, U.P.
 - b) "ORDER" shall mean this Purchase Order and its attachments and exhibits. "GOODS" and/or "MATERIALS" shall mean the articles, materials, machinery, equipment, supplies drawings, data and other property and all services-including design, delivery, installation, inspection, testing and commissioning specified or required to complete the order.
 - c) "Contractor" mean the bidder whose bid has been accepted by the owner and shall include contractor's heirs, legal representative, successor and assigns.
 - d) "Site" means the area(s) where the Work under this Work order is to be executed or carried out.
 - e) "Work" means all duties, responsibilities and obligations discharged by the Contractor pursuant to the Work Order awarded to the Contractor.
 - f) "Contract / Work Order" shall have the same meaning and shall include any award of work in writing with general terms and conditions / special conditions of the Enquiry, enclosures, Annexure and subsequent amendments thereto issued by the Owner and accepted by the Contractor at Delhi/ Surat. shall be under the jurisdiction of the Competent Court at Delhi/ Surat
 - g) "Contract Duration / Period" means the completion period as specified in the Work Order or extended thereafter in writing by the Owner.
 - h) "Taking over Certificate" means the Certificate issued by the concerned Authorized representative of owner the executing department on completion of the work in accordance with the provisions of the Work Order and taking over by the Owner.
 - i) "Final Certificate" means the Certificate issued by the concerned authorized representative of the executing department on expiry of defect liability period in accordance with the provisions of the Work Order.
 - j) "Letter of Intent" or "L.O.I." means the letter of acceptance of the bid of the Contractor, as issued by the Owner to the Contractor.
 - k) "Contract Price" means the total amount payable to the Contractor for carrying out the Work under the Work Order in accordance with the provisions of the Work Order.
 - l) "Schedule of Rates" or SOR means the Schedule of Rates annexed to LOI and / or Work Order.
 - m) "Authorized representative" / "Engineer-in-charge" means the person to whom the owner authorizes to act on his behalf.
 - n) "NIT" means Notice inviting Tender / Enquiry documents for the intended work.
- 1.01 The quoted rates shall include and cover all costs, expenses and liabilities of every description and all risk of every kind to be taken in executing, completing and handing over the Work to the Owner. The contract would deem to have been issued by the owner and accepted by the contractor at Delhi/Surat and therefore, shall be under the jurisdiction of the competent court at Delhi/ Surat.
- 1.02 The Contractor shall be deemed to have known the nature, scope, magnitude and the extent of Work and materials required for the performance of the Work under this Work order, though documents may not fully and precisely furnish the same. The Contractor shall make such provision in "SOR" that he may consider necessary to cover the cost of such items of the Work and materials as may be reasonable and necessary to complete the Work to the satisfaction of the Owner. The "SOR" shall cover royalties, rent, claims, taxes, duties, license fee, risk of delay and any other cost implication, etc.
- 1.03 The duration of Contract will be for a period as mentioned in tender documents and extendable for a further period of one more year or part thereof, on same rates / prices, terms and conditions of the Contract on mutual consent. , in case contractor do not accept for the 'Repeat Contract' for another one year as per the provision of the contract; they shall have to work compulsorily up to three (03) month for making the alternate arrangement by the owner. The Contract value / work duration of the ongoing order shall be increase automatically in proportion. However escalation as per the provision of the contract will be applicable during the second year of contract if duration of contract is extended and/ or "Repeat Contract" is placed.
- 1.04 The rates shall remain firm and fixed for the entire Contract Period including extended period, if any. However, escalation as payable with reference to relevant clause(s) specified elsewhere in the contract will be paid extra to the Contractor.

2.00 LAW PERTAINING TO LABOUR:

- 2.01 This contract shall be govern by the various labour laws for the time being in force, the Contractor shall be responsible for compliance of central, state and municipal laws and rules and legislation in force from time to time and shall be solely responsible to comply with all obligations and payments hereunder. No compensation will be entertained for the liabilities arising out of any provision of any act, Law, rules, and legislation in force from time to time In case owner has to pay any charges arising for non-compliance by the contractor the same shall be recovered from the contractor.
- 2.02 Wherever applicable, the contractor shall submit all the relevant documents showing compliance of relevant act, laws, rules and legislation etc for obtaining the 'labour law compliance certificate' from owner's H R Department for the release of bill-payment.
- 2.03 The contractor shall be liable for payment of all claims of damages, compensation or expenses payable as a result of accident or injury or death sustained by workman employed or used by him in execution of this contract by the act, law or order of the Government. In case of any such eventuality, the contractor shall immediately inform owner in writing for preparing the accident report. The contractor shall immediately provide necessary medical 'first aid'.
- 2.04 The contractor shall have to ensure that healthy hygienic and clean services are maintained and the persons serving the company are free from any disease, injury and illness.
- 2.05 All contract workers shall be paid twice the normal wages, if deployed, on work by contractors on the National Holidays viz. Republic Day (26th January), Independence Day (15th August) and Mahatma Gandhi Jayanti (2nd October). It is the responsibility of the contractor to pay wages at double rates if engaged for work / duty on National Holidays. Owner will not reimburse any financial implication or claim of contractor for fulfillment of this statutory provision.
- 2.06 The contractor's workmen shall use proper clothing and safety appliance while on duty at all times.
- 2.07 The Contractor shall be responsible for his employees observing all security and safety rules, Owner may issue regulations and instruction as from time to time. The employee of contractor shall be liable to search by the Owner's security force. In case Owner suffers any losses etc whatsoever in nature on account of contractors employee not following the security / safety norm, the contractor shall be liable to make good all such losses as may be determined by Owner, and Owner shall have the right to recover all such losses, etc from dues payable to contractors.
- 2.08 The contractor shall ensure disciplined behavior and good conduct by the personnel within owner premises. If anyone found violating norms of discipline and good conduct, the owner shall be entitled to take appropriate action against the contractor for the same.
- 2.09 The contractor shall mobilize at site within time as indicated in letter of intent / Work order.
- 2.10 No employee of the contractor shall be allowed to stay on the premises of the Owner beyond the authorized working hours.
- 2.11 The contractor shall register themselves with Provident Fund Authority obtain PF number and deposit the P F contribution of the worker with matching amount for every calendar month. The Contractor to submit complete detailed list of employee with their respective details of P F recovery and own contribution. The bill submitted shall be certified and passed for payment only after contractor produces the said documents duly endorsed by P F Authority.
- 2.12 KRIBHCO is covered under ESI Act 1948 with effect from 01.09.2012 and accordingly, Contractor has to comply with all relevant provisions of the Said Acts.
- 2.13 If required the contractor shall arrange residential accommodation and transport facilities to and from Owner Site for staff and labours at his own cost.
- 2.14 The Contractor may have access to the Owner's qualified First Aid personnel in case of an accident. However, the Contractor has to maintain first aid box at site for minor injuries.
- 2.15 The Contractor shall be liable to the Owner for any commission or omission on his part and on the part of his personnel, etc. during the execution of the Work. Any damages caused to Owner shall be made good by the Contractor at his own cost and risk.
- 2.16 The contractor shall observe all the statutory and legal requirements of the contract and comply with various provisions of labour enactments and relevant Rules and Regulations of local authorities. The contractor shall be solely responsible for fulfillment of all legal obligations under Contract Labour (Regulation and Abolition) Act, 1970, Inter-State Migrant Workmen (Regulation of Employment and Conditions of Service) Act, 1979, if applicable, payment of Wages Act, 1936, Factories Act, 1948, Employees' Provident Funds and Miscellaneous Provisions Act, 1952, Payment of Bonus Act, 1965, Payment of Gratuity Act, 1972, Industrial Dispute Act, 1947, The Gujarat Physically Handicapped Persons (Employment in Factories) Act, 1982 and all other Industrial/Labour enactments and rules made there under as applicable from time to time. The contractor shall indemnify and save owner harmless against all liabilities in these respects. In case owner incurs any liability towards payment of any dues, compensation cost of any other liability of any kind whatsoever, due to non-fulfilment of statutory provisions under any industrial / labour laws by the contractor, the same shall be made good by the contractor and owner shall recover the same from the contractor from his outstanding bills or otherwise.
- 2.17 The contractor shall furnish all the requisite information from time to time to the concerned authorities and to Owner, which may be required in connection with the contractor's fulfillment of legal / statutory requirement under any Act and Rules in force. The contractor shall be liable to submit Owner a copy of inspection report received from Statutory Authorities and comply with the remarks if any made and Compliance Report shall be sent within the specified time with a copy thereof to Owner.
- 2.18 The contractor shall obtain the prescribed License before the commencement of work for the labour deployed by him. The work shall be allowed to start only after the contractor has obtained requisite License from the Licensing Authority and submits a copy of the same to Owner. The Contractor shall implement the conditions of License regarding deployment of labours, health, hours of work, conditions of work etc. mentioned therein.
- 2.19 KRIBHCO is covered under ESI Act 1948 with effect from 01.09.2012 and accordingly, Contractor has to comply with all relevant provisions of the Said Acts or to take W.C. Policy after taking written permission from KRIBHCO.
- 2.20 The contractor shall either allow leave with wages or pay 5% of the wages actually drawn by each worker and disburse the same once in three months on last drawn basic wages as per requirement of factory Act 1948.
- 2.21 The contractor shall pay Bonus as per the provision of the Bonus Act subject to minimum 8.33% of the wages actually drawn by each worker and disburse the same once in three months on last drawn basic wages.
- 2.22 Employees Provident fund and Misc. provision Act-1952 and scheme made there under: It would be the statutory obligation of the Establishment of contractor to comply with the provisions of the Employees Provident Fund and Misc. Provisions Act, 1952, and scheme made there under from time to time. The contractor's Establishment having obtained separate code being Employer for his employees shall maintain the requisite Registers, Records and also submit the P F challan, returns to P F Authority as per the provisions of E P F and Misc. provisions Act 1952 and Scheme made there under.
- 2.23 The contractor shall ensure the disbursement of wages to the labours engaged by him as per the provision of the payment of wages Act 1936. The payment of wages to the workers employed by the contractor shall pay not less than minimum wages as may be announce by the respective local / State Government of from time to time. If contractor fails to pay the wages and other dues to the workers employed by him on the specified date in the presence of the Owner's authorized representative, Owner has right to levy penalty @ Rs 500/- per day. The provision contained in Sec. 21(4) of

Contract Labour (Regulation and Abolition) Act, 1970 shall be invoked in case of failure on the part of contractor to pay due wages to its workers. The contractor shall have to comply, all statutory requirements relating to all the applicable laws in force during the contract period including the extended period.

2.24 The payment shall be deposited by the contractor in respective account of their workers.

3.00 Safety of the Worker / Site (Applicable For manufacturing sites)

- 3.01 The contractor shall take clearance from safety officer of Owner before start of the work within factory premises.
- 3.02 The Contractor's work men must wear safety appliances e.g. helmet, gas mask, safety belt etc. while working. No contractor's employees including female employees will be allowed to enter the factory without safety Helmet of ISI mark in good condition. The colour of the Safety helmet shall be other than Yellow and Green. In case of contractor not able to arrange Safety helmet, Owner may provide the Safety helmet to contractor on chargeable basis, if available, at Rs.150/- for each helmet or any such rates as may be decided from time to time by Owner.
- 3.03 The entire Owner plant area is declared as non-smoking area. The Contractor shall ensure strict compliance of this regulation. Spitting inside Owner plant area or in any working area is totally prohibited.
- 3.04 All tools tackle etc. used by the contractor shall be in safe working condition wherever required the same should be duly certified by competent authority.
- 3.05 Wherever required, contractor to obtain valid 'safety permit' before start of work and while working within the factory battery limit. The contractor has to take action against his responsible employee for any violation of safety rules.
- 3.06 The contractor shall prepared gate passes in the prescribed form to ensure safety of the installation of the Owner and workers, which will be endorsed after getting clearance from the H R Department of the Owner subject to compliance with labour laws by the authorized officer of the Owner. The Contractor has to ensure that worker with criminal / tainted police record should not be issued any 'Gate-pass' for the work. Therefore it is necessary for them to submit the Police verifications for each worker deployed for the work.
- 3.07 No contract employee including female employee will be allowed to enter the factory premises without shoes and the shoes shall be in good condition.
- 3.08 The Contract female workers will not be allowed to enter the factory premises with loose cloth. (The female workers wearing Saree will be allowed to enter factory only if they wear apron over Saree).
- 3.09 The contractors shall ensure that for the works to be performed at a height of more than 3 meter or at an elevation from where a person is likely to fall and get injured, the workers engaged by them use Safety belt of good quality and with ISI mark. It is the responsibility of the contractor to get the Safety belt inspected and approved from Owner's Fire and Safety Department before making use of this safety belt during work.
- 3.10 Scaffolding shall have guard-rail (side guard) at least 1 meter above the floor of platform.
- 3.11 All tools and tackles such as drilling machine, power tools, etc. shall be tested and checked through Owner's Electrical Department and only on certification of these tools and tackles shall be used in the plant. Tools body shall be earthed and any loose cable insertion in to the socket in place of three pin plug will not be allowed.
- 3.12 The contractor shall arrange valid test certificate from competent authority for all the lifting tools and tackles such as slings, shackle, and chain pulley blocks as per statutory requirement before putting them to use. This certificate shall be counter checked through Engineer-in-charge and the same shall be available for verification when required.
- 3.13 Cranes shall be operated only by authorized persons who are trained and experienced, with proper certification from appropriate authority.
- 3.14 All contractors' employees shall go through a one hour safety orientation training at Fire and Safety Department of Owner before being deputed on job in plant. The contractor shall bring their persons for safety training at Fire and Safety Department After completion of safety training their gate passes will be endorsed.
- 3.15 The contractor's workers shall be provided with proper breathing protection such as dust filter, etc. by the contractor while doing the grit blasting or glass wool work where nuisance dust is involved.
- 3.16 No person should enter in any confined space like tank, pit, chamber etc. in which gas, fumes, vapours, dust is likely to be present to such extent that it may endanger his/her health, without safety work permit.
- 3.17 The contractor should take proper measures to prevent dislodgement of loose or unstable earth from falling into excavation by ensuring proper shoring / supporting.

4.00 PAYMENT OF WAGES:

- 4.01 The contractor shall make payments of wages to the contract labour of all regular nature works such as ARC's

5.00 SUPERVISION:

- 5.01 The Contractor has to confirm and supervise his workers to ensure that the instructions of the site Engineer In charge of the work is faithfully and promptly carried out. In case employee or any of their representatives indulge in any illegal / unlawful activities or any misconduct, the contract may be terminated without any notice at the risk and cost of the contractor.

6.00 INCOMING / OUTGOING MATERIAL:

- 6.01 The Contractor should make challan (movement document) for all incoming / outgoing materials belonging to him including Tools and tackles and get the endorsement at materials gate by the security force. This is to facilitate the engineer concerned to allow return of such material after completion of the job. During the currency of the work contractor has to ensure safety of his materials including tools and tackles.

7.00 SCOPE OF SUPPLY:

- 7.01 The Contractor shall make his own arrangement to carry out the job with his tool and tackle and consumables etc. Owner shall supply the material only, in case, it is specifically mentioned in the contract. The Contractor shall also make own arrangement for carrying the materials at site.
- 7.02 Unless written 'Free Supply', any equipment under the Owner scope of supply shall be charged at society's prevailing rates.
- 7.03 The Owner will supply water and electricity, free of cost, as available in existing network. If execution of the Work requires supply of these facilities, any further distribution of these facilities in work areas shall be the responsibility of the Contractor and the same is to be arranged by contractor at his own cost.
- 7.04 In case of emergency medical facility to the extent available shall be provided on payment of usual charges.

8.00 ISSUE and RETURN OF MATERIALS:

- 8.01 Unless mentioned separately, the materials under Owner's scope shall be issued to the contractor on 'free of charge' from Owner's Stores Department basis subject to its reconciliation with final bill. The balance material and the scrap generated out of Owner materials shall be returned to Owner Stores Department after completion of the work. After issuance of materials all handling shall be in contractor's scope. However, 'Service tax' on the 'free issue materials' (FIM) shall be payable extra, if applicable, as per service Tax Act.

9.00 Maintenance Period (Defect Liability Period).

- 9.01 The work to be executed by the contractor shall be free from any defects and guaranteed for workmanship and quality of material for a defect liability period of 18 months from the date of repair of equipment or 12 Months from the date of installation of equipment whichever is earlier. Any defect noticed during the defect liability period shall be made good by the contractor at his own cost and no extra cost to owner. (Applicable in case of repair work of any equipment of mechanical / Instruments and electrical etc or the fabrication work only).
- 9.02 In case of repair or replacement of the work / equipment, the defect liability period of the said work / equipment shall get extended / adjusted automatically. 9.03 The Security Deposit shall be released by the Owner after satisfactory completion of the 'Performance Guarantee / Warranty / defect liability period' as the case may be. If the contractor has submitted the bank guarantee towards the Security Deposit, the contractor shall extend the validity of such bank guarantee suitably, whenever required.

10.00 TERMINATION:

- 10.01 The owner, due to any reasons, whatsoever and without any obligation to disclose reasons, shall be entitled to terminate the Contract, at any time by giving notice in writing to the contractor..
- 10.02 In the event of such termination pursuant to:
- a. The Contractor shall stop the work and carryout instructions of the Owner in connection with such termination.
- b. The Owner shall pay the Contractor for the materials used and the work executed pursuant to the contract, but remains unpaid on the date of termination provided that the Owner shall not be liable for any business / consequential losses expected profits or damages suffered by the Contractor as a result of such termination.
- 10.03 The Contractor shall upon receiving notice of termination from the Owner in accordance with the Clause 10.1, notify the Owner within fifteen days, the cost of materials and work executed upto the date of termination with all relevant documents for Owner's review and acceptance.
- 10.04 Upon termination of the contract pursuant to this clause, obligations of the parties hereto shall cease except as to the liabilities of either party to the other occurred prior to the date of such termination.

11.0 SETTLEMENT OF DISPUTE AND ARBITRATION:

- 11.01 All dispute arising out of the notified claim of a contractor included in the final bill of the contractor, and any claim or dispute arising out of any claim of the owner against the contractor shall be referred to the arbitration of as sole arbitrator, to be selected either by the party to the dispute, out of the panel of 3(three) persons nominated by the Owner for the purpose of such selection and should the contractor fail to select an arbitrator within 30 (thirty) days of the panel of names of such nominees being furnished by the Owner for the purpose, the sole arbitrator shall be selected by the Owner out of the panel. It is a term of the contract that the sole Arbitrator shall only be one from the panel of names furnished by the Owner.
- 11.02 The provision of the arbitration and conciliation Act, 1996 and any re-enactment(s) and / or modification(s) thereof and of the rules framed there under shall apply to arbitration proceedings pursuant hereto subject to the following condition :- a) The arbitrator shall give his Award separately in respect of each claim and counter-claim; and b) The arbitrator shall not be entitled to review any decision, opinion or determination (however expressed) which is stated to be final and / or binding on the contractor in terms of the contract documents.
- 11.03 If the arbitration period overlaps, during the contractual period the Performance of the Work shall be continued. The venue of the arbitration shall be Delhi/ Surat, provided that the arbitrator may with the consent of the owner and the contractor agree upon any other venue. The work order having been issued at Delhi/Surat and executed by contractor at Delhi/Surat, the court at Delhi/Surat to the exclusion of all other courts shall only have jurisdiction to try and entertain any matters arising there from.

12.0 FORCE MAJEURE:

Force Majeure shall mean and be limited to the following: a) Any war or hostilities. b) Any riot or civil commotion. c) Any Pandemic earth quake, flood, tempest, lightening or other natural physical disaster, impossibility of the use of any railway, port, airport, shipping service or other means of transport. d) Any strike or lockout (only those exceeding 10 continuous days in duration) affecting the performance of the Contractor / Owner's obligations. e) Terrorists act.

13.0 INSURANCE:

- a) All Contractor's equipments, tools, tackles, articles vehicles and personnel etc. shall be at the sole risk of the Contractor.
- b) The Contractor shall insure at his own cost all the personnel employed for the execution of the Work against any Personnel injury that may be sustained during the execution of the Work and present satisfactory evidence to the Owner that such insurance is in force.
- c) The transit risk insurance from the Seller's workshop or place upto the time of delivery to the Purchaser's site or office shall be comprehensively covered by the Seller unless otherwise specified in the purchase order.

14.0 ACCEPTANCE OF ORDER

This order is expressly conditioned on Seller's acceptance of all the terms and conditions hereof. The Seller shall return two copies of the order duly signed and accepted within 10 days of the receipt of the Purchase Order by him in soft or hard format

15.0 DEVIATIONS

This order shall be subject to these General Terms and Conditions and any additional/specific conditions referred to in the order, and no deviation shall be made from the requirement of the Order or from the General Terms and conditions unless deviations are approved in writing by the Purchaser.

16.0 ASSIGNMENT AND SUBLETTING

Except with the prior permission of the Purchaser, the Seller shall not assign or sublet this Order or any part thereof or any money due hereunder to any other manufacturer/vendor. Such permission if granted by the Purchaser will not, however, in any way relieve the contractual obligations of the Seller on whom the order has been placed.

17.0 Quantity Variation for Rate Contracts

The quantities indicated in the Schedule of Rates are approximate only and may vary to any extent. The rates / prices quoted by the Contractor shall remain fixed and firm through-out the Contract Period including extended period if any. However, escalation if applicable with reference to the contract provision will be payable extra for extended duration of contract and / or on amount of Repeat work order.

18.0 Part/Split rates

Any Work not done in accordance with the scope of work or specification of the contract shall not be considered for payment. If all the activities relating to execution of the Work are not completed, there shall not be any payment at part /split rates. The Work shall be certified for payment at full item rates only when the same is executed as per specification without any deviation / variation. The quoted rates shall include and cover all costs, expenses and liabilities of every description and all risk of every kind to be taken in executing, completing and handing over the Work to the Owner.

Part-B Commercial

1.0 DAMAGES & PENALTIES

1.01 Damages for delay of supply/Work

If for reasons not attributable to the Purchaser or due to conditions Constituting force majeure, as defined in this Purchase Order, the supply of equipment, and/or materials is not completed in accordance with the provisions hereof and in accordance with the delivery period as indicated in the body of the Purchase Order, it is agreed that the Purchaser shall be entitled to and the Seller shall pay to the Purchaser the following as mutually agreed damages, which are a genuine pre-estimate made by the parties of the loss and damages which the Purchaser would have suffered on account of such delay in delivery and as by way of mutually determined reasonable compensation to the Purchaser therefore after taking into consideration all circumstances and not as liquidated damages or penalty and without the Purchaser being required to establish and prove the actual loss/damage suffered by the Purchaser on account of such delay:

- a) The pre-estimated mutually agreed damages pursuant thereto shall be payable at the rate of ½% (half percent) per week subject to maximum 5% (Five percent) of total order value determined as below:
 - i) Rs. _____ (Indian Rupees) _____) per week or part thereof's delay in the delivery of the equipment and/of materials in respect of which the price payable under the Purchase Order is payable in Indian rupees, and
 - ii) US Dollars _____) per week or part thereof's delay in the delivery of the equipment and/or materials in respect of which the price payable under the Purchase Order in US Dollars/Currency other than Indian rupees.
- b) The aggregate of such pre-estimated mutually agreed damages payable pursuant to this article of the aggregate of the total of the:
 - i) Indian rupees portion of the Purchaser Price payable under the Purchase Order for rupee portion of supplies and
 - ii) US Dollars/Currency other than Indian rupees portion of the Purchase Price payable under the purchase order for the portion of supplies for which payment is in currency other than Indian Rupees.
- c) for the purpose of sub clause (a) and (b) above.
 - i) The Purchase Price shall include all contingencies and escalations, if any, payable by the Purchaser to the seller hereunder and
 - ii) The exchange rate as between US Dollars and other foreign currency under the Purchase Order for determining the 5% ceiling under Sub-Clause (b) (ii) above shall be the rate prevailing in India on the date on or before which, but for which delay, the delivery of such delayed portion of the equipment and/or materials would have been completed by the Seller.
- d) Save and except as provided in this Purchase Order and subject to the provisions of sub-clause (e) below and without prejudice to the right of the Purchase Order and its entitlement to the said pre-estimated mutually agreed damages and in addition and not in derogation or substitution thereof the purchaser shall be entitled to terminate the Purchase Order in whole or in part without being liable to the seller in any manner whatsoever or to have the undelivered portion of the equipment and / or materials to be supplied pursuant hereto by seller supplied and delivered at the risk and cost of the seller and without being liable to the seller in any manner whatsoever if at the end of despite 30 (thirty) days' notice in writing the seller fails to deliver all or any part of the equipments and or materials to be supplied pursuant hereto by the seller within and in accordance with the delivery schedule, (the time for completion) including such extended period as may have been allowed by the purchaser.

1.02 Damages for failure to meet Performance Guarantee

If for reasons not attributable to the purchaser or due to conditions constituting force majeure as defined in the contract, there is a short fall in the guaranteed out-put or the consumption of raw materials or utilities is in excess of the guaranteed consumption thereof or there is deficiency in the guaranteed produce quality, all as guaranteed hereunder, it is agreed that the purchaser shall be entitled to and the Seller shall pay to the purchaser the following as mutually agreed damages (which are a genuine pre-estimate made by the parties of the loss and damages which the purchaser would have suffered on account of such short fall in the guaranteed output or the consumption of raw materials or utilities is in excess of the guaranteed consumption thereof or there is deficiency in the guaranteed product quality and as by way of mutually determined reasonable compensation to the purchaser thereof after taking into consideration all circumstances) and not as liquidated damages or penalty and without the purchaser being required to establish and prove the actual loss/ damage suffered by the purchaser on account of such delay:

- a) Damages in shortfall in guaranteed output
For every 1% (one percent) or part thereof shortfall in daily/hourly output from the guaranteed hereunder subject to a maximum shortfall of % (percent), the Seller shall pay to the purchaser pre-estimated mutually agreed damages pursuant hereto at the rate of 0.5% (half percent) of the contract price inclusive of all contingencies and escalation, if any, payable by the purchaser to the Seller hereunder.
The Aggregate of such pre-estimated mutually agreed damages payable pursuant to this article for shortfall in daily/hourly output from the output guarantee hereunder shall, it is agreed, be subject to a maximum of 2.5% (two and half percent) of the Aggregate of the total of the contract price inclusive of all contingencies and escalations, if any, payable by the purchaser to the Seller hereunder. The said pre-estimated mutually agreed damages shall be paid in (Currency).
 - b) Damages for failure to get utilities consumption guarantees
For every 1% (one percent) or part thereof excess consumption of utilities per Tonne / hour guaranteed hereunder subject to a maximum excess consumption of % (percent), the Seller shall pay to the purchaser per-estimated mutually agreed damages pursuant hereto at the rate of 0.5% (half percent) of the contract price inclusive of all contingencies and escalations, if any, payable by the Purchaser to the Seller hereunder. The Aggregate of such pre-estimated mutually agreed damages payable pursuant to this article for excess consumption of utilities of utilities per guaranteed hereunder shall, it is agreed, be subject to a maximum of 2.5% (Two and half percent) of the Aggregate of the total of the contract price inclusive of all contingencies and escalations, if any, payable by the purchaser to the Seller hereunder. The said pre-estimated mutually agreed damages shall be paid in (Currency).
 - c) The obligation of the Seller under the various above sub-clauses are independent of each other and accordingly the maximum limits of pre-estimated mutually agreed damages set out under each of the said sub-clauses are separate provided, however, the Aggregate liability of the Seller under above mentioned clauses shall be limited to 5% (five percent) of the contract price inclusive of all contingencies and escalations, if any payable by the purchaser to the Seller hereunder.
 - d) Save and except as provided in this contract and subject to the provisions of clauses "e" and "f" below and without prejudice to the purchaser right of termination hereunder, the pre-estimated mutually agreed damages payable pursuant to this article shall constitute the sole and exclusive remedy of the purchaser for the Seller's delay/failure to deliver the goods, complete/execute/perform the work or to meet the guarantees of output and utility consumption given hereunder by the Seller for reasons other than those attributable to the purchaser or due to conditions constituting force majeure as defined in this contract.
 - e) Notwithstanding anything to the contrary contained in this contract and without prejudice to the rights of the purchaser under this contract and its entitlement to the said pre-estimated mutually agreed damages and in addition and not in derogation or substitution thereof the purchaser shall be entitled to terminate this contract in whole or in part without being liable to the, Seller in any manner whatsoever or to have the undelivered portion of the goods supplied and delivered, unexpected/delayed portion of the work to be completed/executive/performed or to have the defect or deficiency resulting in or because of which there is shortfall in daily/hourly output of the product excess consumption of utilities per tonne / hour from that guaranteed hereunder rectified/remedied, all at the risk and cost of the Seller and without being liable to the Seller in any manner whatsoever in the event of and despite 30 (thirty) days' notice in writing the Seller failing to supply/delivery/complete execute/perform/remedy/rectify all or any part of the same.
 - f) The maximum Limits of
 - i. Shortfall in daily/hourly output from the output guaranteed hereunder:
 - ii. Excess consumption of utilities per tonne/hour from that guaranteed hereunder and:
- Set out in clause "a" and "b" herein above shall be deemed to be the minimum performance parameters guaranteed under this contract by the Seller hereunder notwithstanding anything to the contrary contained herein and accordingly it is agreed that in the event of the performance being below the said minimum performance parameters guaranteed under this contract herein and accordingly it is agreed that in the event of the performance being below the said minimum performance parameters guaranteed under this contract the Seller shall notwithstanding anything to the contrary contained herein and without prejudice to its obligation to pay damages pursuant to clause "a" and "b" hereof and without any limitation whatsoever remedy and/or rectify at its cost and expense all defects and/or deficiencies to bring the performance upto the said minimum performance parameters.
- 1.03 In case of delay in supply of technical documents total contract price shall be reduced @ 0.1% per complete week of delay subject to a maximum of 0.5%.
 - 1.04 FOR NON PERFORMANCE:
 - a) If the contractor has a) Not carried out the Work, or
 - b) Carried out the Work partially, or
 - c) Carried out the Work unsatisfactorily, or
 - d) Not carried out the Work as per the instructions of the Owners/its representative/the Engineer-in-charge, or
 - e) Not carried out the Work in accordance with the terms of the Work Order,
 - f) The remaining unexecuted work shall be got done through another contractor at the risk and cost of the contractor. All related cost incurred by the owner on this account shall be recovered from the dues payable under this work order or any other dues of the contractor.

The penalty, up to 25 % of the amount (item rate x quantity) shall be applied on the Contractor and shall be liable for its recovery from the R A / Final Bills of the Contractor. This penalty shall be in addition to non-payment for such Work.

- 1.05 No penalty shall be applicable in case of: a) Force majeure,
b) When the Owner has instructed not to carry out the Work,
c) 'Work front' and / or the 'Free issue material (FIM)' is not made available by the Owner.

2.00 Security Deposit:

2.01 The Contractor shall furnish the 'Security Deposit' of value of 5 (five) percent of the 'Contract value' for the due and faithful performance of the Contract in any one of the manners described below This 'Security Deposit' shall not bear any interest: i) The contractor will furnish Demand Draft (DD) equal to 5 % of the Contract Price within 15 days of issuance of LOI / Contact in favour of the Owner and payable at Delhi/Surat, towards the Security Deposit. OR ii) The Security Deposit value equal to 5 % of the Contract Price shall be deducted from the 1st RA bill. OR iii) The EMD submitted by the successful Contractor shall be retained and adjusted towards part Security Deposit. Any shortfall in the amount of the Security Deposit, to make it 5% of the Contract Price, shall be deposited by DD within 15 days of LOI / Contract or deducted from the 1st RA bill. OR The contractor will furnish a Bank Guarantee (BG) of value equivalent to 5 (five) percent of the Contract Price towards the Security Deposit, in pro-forma Annexure 7 by owner to be issued by Nationalized / Scheduled Bank (other than Gramin / Co-operative Scheduled / Co-operative Bank), valid up to the date of the expiry of the Contract Period or Guarantee / Warranty / Maintenance period, as per the contract provision plus a claim period of Six Months thereafter. The Contractor shall submit the B G within 15 days of issuance of the LOI.

2.02 In case of any default on the part of the Contractor, in terms of the Contract, the Security Deposit shall be forfeited and / or Bank Guarantee towards Security Deposit shall be en-cash.

2.03 The 'Security Deposit' will be released / discharged, on recommendation of the executing Department and provision of the contract. The same will be returned only after the settlement of final bill and completion of performance guarantee / warrantee / defect liability period, if applicable as per the scope of works.

2.04 On receipt of acceptable PBG, the 'Security Deposit' received / recovered will be refunded

2.05 In case of failure on part of contractor to mobilize at site within stipulated time as indicated in LOI / contract or scope of work for the Contract, and / or failure to fulfill any of the term and conditions of Work order, the Security Deposit of the contractor shall be forfeited / Bank Guarantee submitted will be encashed and remaining unexecuted work shall be got done through another contractor at the risk and cost of the contractor. All related cost incurred by the owner on this account shall be recovered from the dues payable under this work order or any other dues of the contractor.

3.0 TERMS OF PAYMENT

Unless otherwise specified in the Purchase Order, the terms of the payment will be within 30 days of the receipt and acceptance of the material at site through NEFT/RTGS

4.0 MODE OF DESPATCH

Unless otherwise specified in the Purchase Order, the material shall be dispatched by rail/road and the dispatch documents along with a copy of the invoice will be mailed directly to the Purchaser for the attention of the Manager (Materials)/the authority signing the order.

5.0 INSPECTION

If the Purchase Order specifically requires Purchaser's inspection, the Seller shall advise the Purchaser in writing at least 15 days in advance of the date when the materials will be ready for inspection. However, the inspection or its being dispensed with by the Purchaser will in no manner absolve the Seller of his responsibility of quality and workmanship of the materials covered under the order.

6.0 PATENT RIGHTS

The Seller shall fully indemnify the Purchaser, its customers and users, against any action, claim or demand, costs of expenses, arising from or incurred by reason of any infringement or alleged infringement of letters, patent, trade mark or name, copyright or other protected rights in respect of any materials supplied. All royalties and the like payment shall be the liability of and be paid directly by the Seller.

7.0 SPECIFICATIONS

All materials or equipments shall be supplied strictly in accordance with the specifications, drawings data sheets other attachments and conditions stated on the order. No deviations from such specifications or alterations of these conditions shall be made without the Purchaser's agreement in writing which must be obtained before material is placed on manufacture or any work commenced.

8.0 CONTRACT PRICE, TAXES, DUTIES ETC.

Unless otherwise specified in the Purchase Order all taxes, duties and octroi will be borne by the seller.

8.01 The rates / prices shall be considered as fixed and firm and inclusive of all costs such as minimum wages for labour as per Government Notification, Tools, tackles, material, consumable, power, electricity, handling, overhead, profit, insurance, taxes, duties levies, including sales tax (VAT) on Works Contract, turnover tax, and any other tax as applicable, other than specified elsewhere, from time to time. No increase in the quoted rates / prices shall be allowed during the contract period including the extended period if any.

8.02 The Contractor has to quote only 'Basic Rates' in the 'Schedule of Rates (SOR)' - the 'Goods & Service Tax' against the item rates shall be payable as 'EXTRA AS APPLICABLE'. The rates indicated in SOR are exclusive of Goods Service Tax, which shall be payable extra as applicable. The bidder / Contractor is advised to indicate the GST registration number & HSN/SAC Code on the Invoice / Tax invoice submitted for payment.

8.03 Owner reserve the right to operate rates received against this work order for any other work at its discretion. At the same location.

9.0 TRANSIT RISK INSURANCE

The transit risk insurance from the Seller's workshop or place upto the time of delivery to the Purchaser's site or office shall be comprehensively covered by the Seller unless otherwise specified in the purchase order.

10.0 GOVERNING LAW AND JURISDICTION

All actions at law or suits arising out of, or in connection with this order or the subject matter thereof and whether as to construction or otherwise shall be instituted in a court of competent jurisdiction in Delhi or as specified in the work order.

11.0 CORRESPONDENCE

All correspondence concerning the Order shall state the Order Number and shall be submitted in duplicate addressed to the concerned Office/Unit/Project of Krishak Bharati Cooperative Ltd. for attention of General Manager (Mats)/authority signing the order.

12.0 DOCUMENTATION

Documentation shall be submitted as called for in the order.

13.0 ORIGIN AND TEST CERTIFICATE

The Seller will supply copies of Test Certificates for materials and equipments as called for in the order. Such certificate shall clearly state the Purchase Order Number, Item and Equipment Number.

14.0 FIXED PRICE

All prices shall be fixed for the duration of the order including the period of any extension thereof and shall not be subject to escalation of any description during the said duration, including any extension thereof notwithstanding any change in the cost of materials and/or labour, which may take place while the order is being executed, even though it might be necessary for the Seller for any reason whatsoever to taken longer delivery period than indicated in the order.

15.0 PACKING AND DESPATCH

All packing, boxing, crating and protection shall conform to the specification or requirements of the order. The Seller shall be held liable for damage or breakage to the goods due to defective or insufficient packaging. Markings as specifically advised in the Order or Despatch instruction shall be done by seller in delible paint and in such manner to ensure that the same is clearly visible.

16.0 DESPATCH/DELIVERY

All goods shall be despatched by rail/road/air freight paid and the Railway Receipt/Lorry Receipt/Air Consignment note shall be posted to the concerned Incharge of Krishak Bharati Cooperative Ltd. as detailed in the order.

17.0 SHIPPING/DESPATCH DOCUMENTS

The shipping/despatch documents will consist of:

- | | |
|--------------------------------------|----------|
| i. Challan | 3 copies |
| ii. Packing list | 3 copies |
| iii. Test Certificates | 3 copies |
| iv. Invoice | 4 copies |
| v. Railway/Lorry Receipt in Original | |

The original and two copies of the despatch documents shall be posted on the day of despatch to the Purchaser for the attention of Manager (Finance and Accounts).

18.0 INVOICES

Three copies of each invoice made out in the name of the Purchaser shall be posted to the concerned Unit of Krishak Bharati Cooperative Ltd. for the attention of Manager/General Manager (Finance and Accounts) immediately after despatch has been made or as per provision of work order/Rate Contract.

The invoice shall show clearly whether they cover "part order", balance order" or "complete order" and shall include the item, number as well as order number. Net prices shall be shown on invoices. Cash discount shall be described as such and each invoice shall show advance and progress payments which have been previously received by the Seller.

19.0 DEFAULT

In the event of any default of SELLER to comply with any of the provisions or requirements hereof, Purchaser shall have the right to terminate and cancel PURCHASE ORDER with or without notice and without prejudice to any other rights, elections, or remedies Purchaser may have and Purchaser shall be relieved from any further obligations to SELLER hereunder. In the event of such cancellation of PURCHASE ORDER, Purchaser shall be entitled to arrange for the procurement of equipment, materials and services from alternate suppliers at the risk and cost of the SELLER. The waiver of one default shall not be considered an automatic waiver of any other default.

20.0 ESCALATION CLAUSE

Escalation due to revision of minimum wages of labour by way of statutory notifications will be paid extra as applicable.